Mosquito Shield

Franchise Decision Report

Source: 2025 FDD filed with Wisconsin DFI · Filing year: 2025
Legal entity: Mosquito Shield Franchise, LLC (reorganized Feb 2022 from Corporation)
Parent: Mosquito Holdco, Inc. / FS PEP Holdco, LLC / Princeton Equity Group, LLC
Report generated: 2026-03-15 · Franchise Decision Radar

Executive Summary

Mosquito Shield is the fastest-growing brand in the mosquito pest control cohort, adding +140 net franchised outlets over the 2022–2024 reporting window. It also has the lowest headline royalty rate at 8% of Gross Sales. On the surface, this looks like the most dynamic option.

Look deeper and the picture is more complicated. The system churned heavily: 65 terminations in 2023 alone (the highest single-year count in the cohort), plus 44 in 2024. Growth is masking turnover. The 8% royalty is real, but the $50,000 local advertising floor — the highest in the cohort — pushes Shield's total fee burden to the **highest at every modeled revenue level**. At $300K gross revenue, annual franchisor fees total $86,000 (28.7%), compared to $52,800 (17.6%) at Mosquito Authority.

The Item 19 disclosure has the highest exclusion rate in the cohort: 26 outlets (21% of the system) excluded as "non-conforming" — a term the FDD does not define. Among the 81 included outlets, average gross sales of $285,839 look reasonable until you see the median: $134,918. Only 30% of franchisees meet or exceed the average. The average franchisee owns 4.51 territories, making single-territory performance hard to isolate. The company-owned P&L reports a strong 29.5% adjusted EBITDA — but discloses cost percentages only, with no absolute revenue figure.

No litigation is required to be disclosed. The system is PE-backed (Princeton Equity Group). Minimum Gross Sales thresholds create an additional risk: the franchisor can

collect 7% of the shortfall if a franchisee misses escalating revenue targets. (pp. 12–51)

Fee Burden Analysis

Shield's 8% royalty is the lowest in the cohort. But royalty is only one piece. The local advertising minimum ($50,000 or 10% of gross revenues, whichever is greater) is the highest in the cohort, and mandatory bookkeeping ($200–$500/mo) and sales center ($300–$750/mo) fees add non-discretionary costs that most competitors do not impose. The result: the lowest headline royalty rate produces the **highest total fee burden** at every modeled revenue level.

AT REVENUE	ROYALTY	MARKETING	TECH / OTHER	TOTAL	% OF REV	COHORT RANK
$200,000	$16,000	$54,000	$6,000	**$76,000**	38.0%	5/5
$300,000	$24,000	$56,000	$6,000	**$86,000**	28.7%	5/5
$400,000	$32,000	$58,000	$6,000	**$96,000**	24.0%	5/5
$500,000	$40,000	$60,000	$6,000	**$106,000**	21.2%	5/5

Component breakdown

- **Royalty (8% flat):** Lowest in cohort. But subject to Minimum Gross Sales thresholds — $283,500 by Year 5+ for a single territory. If you fall short, the franchisor may collect the difference between your actual royalty and 7% of the required minimum. At $200K revenue, that shortfall penalty could add ~$3,845. (p. 14)
- **Brand Fund (2% of Gross Sales):** Payable weekly. Standard for the cohort. (pp. 14–15)
- **Local Advertising ($50,000 or 10%):** Greater of $50,000 or 10% of gross revenues annually, after first year. This is the single largest fee component and the highest local ad floor in the cohort. At $200K revenue, this alone consumes 25% of gross. (p. 15)
- **Advertising Cooperative:** Currently $0. Maximum $25,000/year unless 2/3 of members approve more. Credits toward Local Advertising obligation. (p. 15)
- **Bookkeeping ($200–$500/mo):** Mandatory approved vendor. Not optional. Modeled at $200/mo (low end). (p. 16)
- **Sales Center ($300–$750/mo):** Based on location size. Franchisor can require use for all inbound calls. Modeled at $300/mo (low end). (p. 16)

> **What this means:** At $300K revenue, you keep ~$214K after franchisor fees. The cheapest brand (Mosquito Authority) leaves you ~$247K. That $33,000/year gap compounds over a 10-year franchise term into $330,000 of difference in retained earnings. The 8% royalty is a headline number — the local ad floor is where the cost lives.

> **HIDDEN COST — MANDATORY VENDOR FEES AT HIGH END**
>
> The fee model above uses low-end estimates for bookkeeping ($200/mo) and sales center ($300/mo). At the high end ($500/mo and $750/mo respectively), these add $9,000/year, pushing total burden to $95,000 at $300K revenue (31.7%). Ask the franchisor which tier applies to your market. (p. 16)

> **MINIMUM GROSS SALES SHORTFALL PENALTY**
>
> If your territory's Gross Sales fall below the Minimum Gross Sales threshold ($283,500 at Year 5+ for one territory), the franchisor may collect the difference between your actual royalty paid and 7% of the required Minimum Gross Sales. This is not included in the fee model above because it is discretionary — but given that the median franchisee does $134,918 in gross sales, a significant share of the system could be subject to this penalty. (p. 14)

Item 19 Interpretation

Shield's Item 19 is disclosed but requires careful interpretation. It contains a company-owned P&L (cost percentages only), franchisee gross sales by quartile, and customer retention metrics. The disclosure has the highest exclusion rate in the cohort.

Company-owned P&L

One company-owned location in southeastern Pennsylvania, acquired early 2025. The FDD provides cost structure as percentages of revenue for calendar year 2024 — but **no absolute revenue figure**. (p. 46)

- Adjusted EBITDA: 29.5% of revenue
- Payroll/personnel: 33.2% (largest cost component)
- COGS: 19.1%
- Auto/travel: 5.7%
- Insurance: 4.3%
- Marketing/advertising: 3.6%

- Facilities/supplies: 3.6%
- Total costs: 70.5%

The 29.5% EBITDA margin is a strong signal. But without knowing the absolute revenue, you cannot calculate dollar profitability. The location has 5+ years of operational history and covers a larger geography than a standard new territory. Owner compensation was adjusted to reflect an agreed general manager rate — not the pre-acquisition owner's actual draw. This is useful as a cost structure template but not as a direct profitability estimate for a new single-territory operator.

Franchisee gross sales (Table 1)

81 of 125 franchised outlets included (65%). 441 territories across those 81 outlets. Fiscal year 2024: (p. 47)

- System-wide average: $285,839 — but median is $134,918
- Only 24 of 81 franchisees (30%) met or exceeded the average
- Range: $3,620 to $2,707,260
- Average franchisee owns 4.51 territories (range 1–23, median 3)

By quartile:

QUARTILE	AVERAGE	MEDIAN	AVG TERRITORIES
Q1 (top 25%)	$819,520	$721,144	8.1
Q2	$210,494	$175,371	4.4
Q3	$94,275	$91,470	3.4
Q4 (bottom 25%)	$31,771	$37,004	2.3

The extreme right skew is evident: the top quartile averages $820K across 8.1 territories, while the bottom quartile averages $32K across 2.3 territories. Top performers are multi-territory operators who pull the system-wide average far above what a typical single-territory buyer should expect.

26 "non-conforming" exclusions

26 outlets (21% of the 125-outlet system) were excluded from Table 1 as "non-conforming." The FDD does not define this term. An additional 15 outlets were excluded for not having completed

more than one season, and 1 for being operated by another location. This is the highest exclusion rate in the cohort and raises the question of whether the included population overstates system-wide performance. (p. 47)

Customer retention (Table 2)

- 85% year-over-year customer retention (based on ~57% of customers with available data)
- $715.26 average revenue per customer
- $7.1M in prepay collected (fall 2024 + pre-season 2025)
- 35,902 total customers system-wide in 2024

85% retention is a strong recurring revenue signal. The $715 per-customer average and prepay data suggest meaningful customer lifetime value. (p. 48)

System-wide total sales grew from $19.4M (2021) to $25.7M (2024) — 32% growth over three years. (p. 47)

> **What this means:** The headline average ($286K) is not what a typical franchisee earns. The median ($135K) is more representative, but even that reflects operators with 3 territories on average. A single-territory buyer in the early years should plan for revenue well below the median. The 21% "non-conforming" exclusion rate means the data may overstate actual system performance. You will need to talk to current franchisees — particularly single-territory operators — to calibrate expectations.

Investment Breakdown

Mid-range for the cohort: $120,525–$157,950. The range is narrower than competitors because the franchise fee is fixed ($54,500) and the biggest variable — the vehicle — is partially addressed by a required customization package rather than a full vehicle purchase. (pp. 19–20)

CATEGORY	LOW	HIGH
Initial Franchise Fee	$54,500	$54,500
Annual Conference Registration Deposit	$1,000	$1,000
Customized Vehicle	$2,100	$16,000
Lease and Utility Deposits	$0	$1,500
Storage-Related Expenses	$0	$1,200
Franchise Starter Package	$23,600	$23,600
Business Management Software	$250	$250
Local Advertising Expenditure	$35,000	$50,000
Training Expenses	$1,500	$2,700
Insurance Premiums	$675	$900
Professional Fees	$350	$1,200
Licenses and Permits	$50	$100
Additional Funds — 3 Months	$1,500	$5,000
Total	**$120,525**	**$157,950**

What to know about the major line items

- **Franchise Starter Package ($23,600):** A bundled package including laptop, platform setup, 3-month pest control product supply, marketing materials, 3 months of ProNexis/Pocomos/SEO service, and training hotel. This is a fixed cost with no negotiation range. (p. 19)
- **Local Advertising ($35K–$50K):** This is the first-year advertising spend, built into the initial investment itself. After Year 1, the ongoing floor is $50K or 10% of gross revenues — so the investment table already signals the recurring marketing burden. (p. 19)
- **Vehicle Customization ($2,100–$16,000):** Low end is 3 months of financing on a customized vehicle; high end is $13,890 customization on your own vehicle. Full vehicle MSRP with customization is ~$54,500 but financed rather than paid upfront. (p. 19)

- **Working Capital ($1,500–$5,000):** Only 3 months, and explicitly excludes salary, employee wages, rent, and utilities. This is the thinnest working capital estimate in the cohort. Plan for significant personal reserves. (p. 20)
- **Multi-territory discounts:** Second territory $45K, third $35K, declining to $23.5K for the tenth. Each territory is ~50,000 single-family homes, with a $1.00 surcharge per home above 50,000. (pp. 12–13)

> **What this means:** The stated investment range of $120K–$158K is realistic for a single-territory buyer, but understates total cash needed. Working capital of $1,500–$5,000 will not cover payroll, rent, or living expenses during the ramp-up period. Add 3–6 months of personal living expenses and at least one employee's wages to your real capital requirement.

System Health

Shield is growing fast — the fastest in the cohort. But the gross numbers tell a very different story than the net numbers. In 2023, the system opened 103 outlets and lost 70 (65 terminated + 5 ceased operations). That is a 24.7% turnover rate in a single year. For context: Mosquito Authority lost 17 outlets across the entire 3-year window.

YEAR	START	OPENED	TERMINATED	CEASED	TRANSFERRED	NET	END COUNT
2022	295	91	13	0	12	+74	369
2023	369	103	65	5	21	+38	407
2024	407	73	44	1	28	+28	435

Termination pattern

65 terminations in 2023 is the highest single-year count in the cohort by a wide margin. It dropped to 44 in 2024, which is still higher than any other brand's worst year. Total terminations across the 3-year window: 122. Across the same window, Mosquito Authority had zero. (pp. 50–51)

The 2024 attrition rate (terminations + ceased as % of start-of-year count) is 11.1% — the highest in the cohort. For comparison: Authority 1.8%, Squad 4.3%, Joe 5.7%, Hunters 0.0%.

Growth masking churn

Over the 3-year window, Shield opened 267 outlets and exited 128 (terminated + ceased + transferred). The net +140 is real, but 48% of gross openings were offset by exits. This is a high-

churn growth model: the system is selling franchises faster than it is losing them, but it is losing a lot of them.

Geographic concentration

Massachusetts went from 14 to 39 outlets in 2023 — 25 openings in a single state in a single year. This level of concentration raises questions about territory saturation and local market capacity. (p. 51)

Transfer volume

12, 21, 28 transfers per year — accelerating. In a system with high terminations, increasing transfers could mean franchisees are selling rather than being terminated, or the franchisor is facilitating ownership changes for struggling units. Either way, the trend warrants questions. (pp. 50–51)

> **What this means:** The +140 net growth number is genuine, and the system is meaningfully larger than it was three years ago. But this is not the clean, organic growth you see at Authority (+22 with zero terminations). Shield's model involves aggressive selling, significant turnover, and rapid replacement. If you are buying in, understand that roughly 1 in 10 outlets exited the system last year.

Risk Signals

Minimum Gross Sales shortfall penalty

The Minimum Gross Sales schedule escalates from $45,000 (Year 1) to $283,500 (Year 5+) for a single territory. If your Gross Sales fall below the minimum, the franchisor may collect the difference between your actual royalty paid and 7% of the required Minimum Gross Sales. Given that the median franchisee does $134,918, a significant portion of the system may be below the Year 5+ threshold. This creates a performance penalty layered on top of the existing fee burden. (p. 14)

21% "non-conforming" exclusion in Item 19

26 of 125 outlets were excluded from the financial performance data as "non-conforming." The FDD does not define this term or explain the criteria. This is the highest exclusion rate in the cohort and raises the possibility that underperforming outlets were selectively removed from the data, inflating the reported averages. (p. 47)

Mandatory bookkeeping vendor

Franchisees must use an approved/designated bookkeeping vendor at $200–$500/month. This is unusual in the cohort and adds $2,400–$6,000/year in non-discretionary costs. It also means the franchisor has real-time visibility into your financial books. (p. 16)

Growth masking churn

267 opened, 128 exited over 3 years. The net growth narrative (+140) obscures the fact that nearly half of all new outlets are replacing exits, not expanding the system. A prospective buyer should look at gross exit rates, not just net growth. (pp. 50–51)

Table discrepancy

The 2022 franchised start count is 295 in Table 1 but 296 in Table 3 — a one-unit discrepancy. Small, but in a filed legal document, internal inconsistencies are quality signals. (pp. 50, 57)

PDF rendering issues

Table 2 contains garbled text: "PNenewns yJelvrsaenyia" appears where "Pennsylvania" should be. This is a document production issue, not a data issue, but it suggests the filing was not carefully proofread. (p. 58)

Clean litigation history

No litigation required to be disclosed in Item 3. This is a positive signal — the franchisor has not been sued by franchisees in a system with 122 terminations over 3 years. That is either a sign of clean separation processes or effective dispute resolution. (p. 12)

> **What this means:** The risk profile is dominated by two themes: high ongoing costs disguised by a low headline royalty rate, and aggressive growth that masks significant churn. The undefined "non-conforming" exclusion in Item 19 makes it harder to assess whether the financial performance data reflects reality for the full system.

Peer Context

Shield occupies a distinctive position: fastest growth, highest churn, lowest royalty, highest total cost. It is the only brand where the headline fee (8% royalty) and the actual fee burden (28.7% of revenue at $300K) tell opposite stories.

Closest comparison: Mosquito Joe. Both PE-backed, both with high marketing spend, both with significant system churn. Joe's fee burden at $300K is $84,752 (28.3%) vs Shield's

$86,000 (28.7%) — nearly identical. Joe has lower terminations but a more complex royalty structure (10% dropping to 7%).

Sharpest contrast: Mosquito Authority. Opposite profiles on nearly every dimension. Authority has slower growth (+22 vs +140), zero terminations (vs 122), higher royalty (10% vs 8%), but far lower total burden (17.6% vs 28.7%). Authority's median franchisee is more representative because multi-territory concentration is similar (~4 territories) but the exclusion rate is much lower.

METRIC	AUTHORITY	HUNTERS	JOE	SHIELD	SQUAD
System size	546	135	415	435	226
Investment range	$54K–$127K	$141K–$170K	$150K–$192K	$120K–$157K	$162K–$220K
Fee burden at $300K	$52,800	$80,300	$84,752	$86,000	$77,880
% of revenue	17.6%	26.8%	28.3%	28.7%	26.0%
3-year net growth	+22	+8	+43	+140	+3
2024 attrition	1.8%	0.0%	5.7%	11.1%	4.3%
Royalty rate	10%	10%	10/7%	8%	10/9/8%

Questions for Discovery Day

These questions are derived from specific findings in the Mosquito Shield 2025 FDD. They are designed to surface information the FDD does not fully explain.

1. 26 outlets were excluded from Item 19 as "non-conforming." What does "non-conforming" mean, and what were the gross sales of those excluded outlets?

Item 19, Table 1, p. 47. 21% exclusion rate — highest in cohort. Term not defined in FDD.

2. 65 franchisees were terminated in 2023. What were the primary reasons, and what has changed to reduce that number to 44 in 2024?

Item 20, Tables 1 & 3, pp. 50–51. Highest termination count in cohort by wide margin.

3. The Minimum Gross Sales threshold reaches $283,500 by Year 5. What percentage of current franchisees are below that threshold, and how often do you actually collect the shortfall penalty?

Item 6, p. 14. Median gross sales ($134,918) is well below this threshold.

4. The company-owned P&L shows cost percentages but no absolute revenue. What was the gross revenue of that SE Pennsylvania location in 2024?

Item 19, Company-Owned, p. 46. 29.5% EBITDA margin, but dollar amount unknown.

5. The local advertising minimum is $50,000 or 10% of gross revenues. What specifically counts toward this obligation? Can franchisees choose their own vendors and channels?

Item 6, p. 15. Highest local ad floor in cohort. Critical to understand what qualifies.

6. Massachusetts went from 14 to 39 outlets in one year. What drove that concentration, and how are territories performing in that state now?

Item 20, Table 2, p. 51. 25 openings in a single state raises saturation questions.

7. Mandatory bookkeeping through an approved vendor at $200–$500/month — what determines which tier applies, and can franchisees switch to their own bookkeeper after an initial period?

Item 6, p. 16. Unusual requirement. Adds $2,400–$6,000/yr in non-discretionary cost.

8. Transfers increased from 12 (2022) to 28 (2024). What is driving the acceleration, and what is the typical resale price relative to original investment?

Item 20, Tables 1 & 3, pp. 50–51. Transfer trend accelerating alongside terminations.

9. What is the average gross revenue for a single-territory operator? The Item 19 data is reported per franchisee (average 4.51 territories), making single-territory economics invisible.

Item 19, Table 1, p. 47. System-wide median $134,918, but territory count varies 1–23.

10. The entity reorganized from a Corporation to an LLC in February 2022. What prompted that change, and did any franchise agreement terms change as a result?

Cover page and Item 1. Legal entity change may affect franchisee contract terms.

Source & Methodology

Source document: Mosquito Shield 2025 Franchise Disclosure Document, filed with the Wisconsin Department of Financial Institutions. Regulator-source PDF. SHA-256:
`3de232c6a558d2563de70252c118058788fc82bd9209331b172f4e09274408ec`

Extraction: Structured data extraction using pdfplumber with manual review. Field-level provenance recorded (source year, state, page number, item reference). Extraction confidence: high (3+ fields spot-checked against source).

Fee modeling: Year 5 assumptions, single territory, 1 owner + 1 technician. Revenue distributed evenly across the year. All mandatory fees enforced. Bookkeeping and Sales Center fees modeled at low end ($200/mo and $300/mo respectively). See fee_modeling_framework.md for full methodology.

Peer comparison: Same methodology applied to all 5 brands in cohort (Mosquito Authority, Mosquito Hunters, Mosquito Joe, Mosquito Shield, Mosquito Squad). All from 2025 FDDs filed with Wisconsin DFI.

Disclaimer: This report is not legal advice, investment advice, or a recommendation to buy or avoid this franchise. It is a structured analysis of publicly available regulatory filings. The buyer should read the actual FDD, consult a franchise attorney, and conduct their own due diligence before making any investment decision.